litigating a personal injury claim.

Plaintiff's reply brief argues he is "in somewhat frail health and in dire need of a complete, left shoulder replacement surgery." While also arguing that plaintiff's "remaining years are limited," the Count notes the absence of any assertion that conditions plaintiff is suffering from are fatal. Further, while the reply points out that a deceased plaintiff's estate cannot recover pain and suffering damages, the prejudiced interest in such circumstances would be the estate and not the plaintiff himself.

Here, the Court finds plaintiff to be over the age of 70, permitting the present motion. Plaintiff is further the only plaintiff named here, giving him a substantial interest in the present action as a whole. As to the final showing, however, the Court finds that there is insufficient evidence to conclude preference is necessary to prevent prejudicing plaintiff's interest in the litigation. However, the Court is sympathetic to plaintiff's allegations and diagnoses, acknowledging some uncertainty as to years remaining, and noting that this case has already been pending for over a year.

Accordingly, the Court **denies** the motion for trial preference, but intends to set a trial as soon as practicable for all involved. The Case Management Conference currently set for June 3rd is advanced to March 3, 2026 at 8:30 am for the purposes of setting a mediation or other ADR compliance deadline, Issue Conference, and trial date.

Parties are ordered to file and serve updated CMC Statements by noon on February 26, 2026. Parties are ordered to list all discovery planned, propounded, scheduled or completed thus far in their CMC Statements. Parties are ordered to list any pre-trial motions concerning discovery or the pleadings (excluding motions *in limine*). If parties have not completed ADR, parties are to meet and confer on selection of a mediator prior to March 3, 2026.

10. 9:00 AM CASE NUMBER: C25-00200
CASE NAME: CLAUDIU MIHAILA VS. DOES 1-25
***HEARING ON MOTION IN RE: TO CONTEST APPLICATION FOR DETERMINATION OF GOOD FAITH SETTLEMENT**
FILED BY: DISCOVERY BUILDERS, INC.
****TENTATIVE RULING:****

Defendant Discovery Builders California Inc. ("Builder") has filed a motion ("Motion") to contest an application for good faith settlement determination ("Application") filed by codefendants Dennis Czarnecki and Maureen Czarnecki ("Sellers"). Plaintiffs Claudiu Mihaila and Gabriela Mihaila ("Plaintiffs") allege that Builder negligently constructed the home they own and did so in violation of residential construction standards and that Sellers made negligent misrepresentations and negligent nondisclosures during the course of selling the home at issue to Plaintiffs.

For the reasons set forth below, Builder's Motion is **denied**. Pursuant to Code of Civil Procedure §§ 877 and 877.6, the Court finds that Builder has not met its burden on the Motion. The Court also finds that the settlement between Sellers and Plaintiffs is a good faith settlement under the standards of *Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, as set forth below.

Background

Plaintiffs allege that they reside on real property in Brentwood (“Property”), that they purchased from Sellers and that was constructed by Builder. Plaintiffs allege three causes of action, including: (1) violation of residential construction standards per Civil Code § 895 et seq. against all defendants; (2) negligent misrepresentation against Sellers; and (3) negligent non-disclosure against Sellers. In the prayer for relief, Plaintiffs ask for damages from Builder as to the first cause of action. As to the second and third causes of action, Plaintiffs seek damages from Sellers.

In November 2024, prior to commencement of this action on January 23, 2025, Plaintiffs entered into a settlement with Sellers pursuant to which Sellers agreed to pay Plaintiffs $75,000, among other terms. In October 2025, Sellers served an application for good faith settlement determination on Builder and the Court. Builder filed a timely motion to contest the application for good faith settlement.

<u>Procedures and Standards Governing Good Faith Settlement Determination</u>

There are two alternative procedures under Code of Civil Procedure § 877.6 for obtaining a determination that a settlement is a good faith settlement. Sellers here chose the procedure by which they filed an application for a good faith settlement determination without setting a hearing, which the Court may grant unless a motion contesting the good faith settlement is timely made. (Code Civ. Proc. § 877.6(a)(2).) Builder timely filed a motion contesting the Application.

The California Supreme Court in *Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488 (“*Tech-Bilt*”) listed a series of factors courts should consider in making the determination of good faith under Code of Civil Procedure § 877.6. These factors include “a rough approximation of plaintiffs’ total recovery and the settlor’s proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants.” (*Id.* at 499.) The settlement lacks good faith if the settlement is “ ‘grossly disproportionate to what a reasonable person at the time of settlement would estimate the settling defendant's liability to be.’ [Citation omitted.]” (*Id.* [quoting *Torres v. Union Pacific R.R. Co.* (1984) 157 Cal.App.3d 499, 509].)

That a settlement calls for the settling party to pay less that the party’s theoretical proportionate share of the plaintiff’s damages does not mean the settlement is made bad faith; a good faith settlement does not require “ ‘perfect or even nearly perfect apportionment of liability.’ [Citation omitted.] All that is necessary is that there be a ‘rough approximation’ between a settling tortfeasor’s offer of settlement and his proportionate liability. [Citation omitted.]” (*North County Contractor's Assn.* v. Touchstone Ins. Services (1994) 27 Cal.App.4th 1085, 1090-1091.) In assessing the value of the settlement to the settling party and whether the settlement was reached in good faith, “a trial court must examine not only the settling tortfeasor’s potential liability to the plaintiff, but also the settling tortfeasor’s potential liability to all nonsettling tortfeasors. [Citations omitted.]” (*PacifiCare of California v. Bright Medical Associates, Inc.* (2011) 198 Cal.App.4th 1451, 1465-1466; *TSI Seismic Tenant Space, Inc. v. Superior Court* (2007) 149 Cal.App.4th 159, 166.)

<u>Analysis</u>

The case file shows that Builder appears to be the developer and original seller of the Property.

Sellers purchased the Property from Builder and later sold it to Plaintiffs. Under the settlement being challenged by Builder, Plaintiffs agreed to accept a settlement payment of $75,000 in resolution of the claims they asserted against Sellers. (Nathan Scheg Decl. ISO Opposition, Exh. A [Application for Good Faith Determination, Stipulation for Settlement].) According to Plaintiffs' counsel, this $75,000 represents 15.7% of the Plaintiffs' total claim of $479,289,31. (Declaration of David Hamerslough ISO Application for Good Faith Settlement (Hamerslough Dec., ¶ 10(b).)

Builder's Motion makes one argument as to why the Court should deny Seller's Application and one alternative argument. Builder argues that the Court should deny Seller's Application because Seller did not analyze the *Tech-Bilt* factors in the Application. (Motion, p. 4; Reply, p. 2.) In the alternative, Builder requests the Court to determine that the Seller's settlement payment should be allocated to offset claimed repair damages at the time of trial. (Motion, p. 5.) Sellers argue in their opposition that Builder has not met its burden of proof and that Builder improperly attacks the form of the application rather than substance of the settlement. (Opposition, pp. 4-5.)

A. Burden of Proof on Good Faith Settlement Determination is on Builder

"The burden is upon the party objecting to the proposed settlement to prove an absence of good faith. (§ 877.6.) The challenger must prove 'the settlement is so far "out of the ballpark" in relation to these factors as to be inconsistent with the equitable objectives of the statute.' [Citation omitted.]" (*North County Contractor's Assn. v. Touchstone Ins. Services* (1994) 27 Cal. App. 4th 1085, 1091 [quoting *Tech-Bilt, supra,* 38 Cal.3d at 499-500].) (*See also* Code Civ. Proc., § 877.6, subd. (d); *Tech-Bilt, supra,* 38 Cal.3d at 499-500 ["The party asserting the lack of good faith, who has the burden of proof on that issue (§ 877.6, subd. (d)), should be permitted to demonstrate, if he can, that the settlement is so far 'out of the ballpark' in relation to these factors as to be inconsistent with the equitable objectives of the statute. Such a demonstration would establish that the proposed settlement was not a 'settlement made in good faith' within the terms of section 877.6."]; *Greshko v. County of Los Angeles* (1987) 194 Cal.App.3d 822, 831 [same].) This assessment is made based on the facts available at the time the settlement is made. (*Tech-Bilt, supra,* 38 Cal. 3d at 499 ["[P]ractical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement."].)

B. Sellers' Description of the Settlement in the Application is Sufficient.

Sellers were not required to address the *Tech-Bilt* factors in their Application; a "barebones" application is sufficient, as the party objecting to the good faith determination bears the burden of proving the settlement does not meet the *Tech-Bilt* good faith standard. (*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261; *North County Contractor's Assn., supra,* 27 Cal.App.4th at 1090-1091.) (*See also Alcal Roofing & Insulation v. Superior Court* (1992) 8 Cal.App.4th 1121, 1129 ["At a minimum, a party seeking confirmation of a settlement must explain to the Court and to all other parties: who has settled with whom, the dollar amount of each settlement, if any settlement is allocated, how it is allocated between issues and/or parties, what nonmonetary consideration has been included, and how the parties to the settlement value the nonmonetary consideration."].)

Here, Seller's Application generally covers the "barebones," minimum requirements for an application for a good faith settlement determination summarized in the *Alcal* decision. (Nathan Scheg Decl. ISO

Opposition, Exh. A.) There is no allocation of the settlement proceeds made in the settlement, so allocation is not addressed in the Application. (*Ibid*.)

Builder's argument that Sellers failed to address the *Tech-Bilt* factors is unavailing as Sellers do not have that burden—Builder does. (See *City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261; *North County Contractor's Assn., supra,* 27 Cal.App.4th at 1090-1091.) Builder submitted one declaration in support of its Motion, the declaration of Builder's attorney, Stephanie L. Young. (Young Decl., ISO Motion.) The Young declaration addresses some of the procedural history of this matter and also goes over a number of asserted deficiencies in the Sellers' Application. (*Ibid*.) Builder objects that the Application does not mention the *Tech-Bilt* factors, does not address whether the settlement is in "the ballpark" of Sellers' proportionate liability, does not provide any allocation of the settlement proceeds, does not address whether there has or has not been any fraud perpetrated by Sellers and Plaintiffs in relation to the settlement being challenged. (*Id*. at ¶¶ 11-16.)

However, nowhere in its Motion does Builder address the *Tech-Bilt* factors head on so as to carry its own burden on them. Builder's only attack is that Sellers have not addressed the *Tech-Bilt* factors. (Motion, p. 4: Reply, p. 2.) Builder has ignored the statutory and case law requirements it must meet in bringing this Motion. The Code of Civil Procedure is clear, "The burden is upon the party objecting to the proposed settlement to prove an absence of good faith. (CCP § 877.6.) *The challenger* must prove 'the settlement is so far "out of the ballpark" in relation to these factors as to be inconsistent with the equitable objectives of the statute.' [Citation omitted.]" (*Tech-Bilt, supra,* 38 Cal.3d at 499-500.)

Seller argues that Builder has submitted no expert analysis, no allocation model, no liability assessment, and no competent evidence establishing that the $75,000 settlement is disproportionate to the Sellers' alleged exposure as prior homeowners. The court agrees. Builder has not met its burden.

C. Alternative Request for Allocation

Builder's argument in the alternative asks the Court to determine that the full settlement payment should be allocated as an offset to the claimed repair damages at the time of trial. (Motion, p. 5; Reply, pp. 2-3.) However, the Court declines to do so as allocations are not required at the good faith settlement stage as there is a "'widely accepted method' for making a postverdict allocation." (*Dole Food Co., Inc. v. Superior Court* (2015) 242 Cal.App.4th 894, 918.)

D. The *Tech-Bilt* Factors

With respect to the first factor, the rough approximation of Plaintiff's total recovery and the settlor's proportionate liability, Seller argues that their settlement of $75,000 represents nearly 15% of the pre-mediation demand and that if Plaintiffs were to be successful in their lawsuit, the Builder and not the Sellers should be primarily responsible for the construction defects of the Property. (Opposition, p. 5) Builder asserts that the total amount suggested by Sellers does not include fees and costs and the *Stearman* costs, which total an additional $37,000. (Reply, p. 2.) However, Plaintiffs' own counsel states that the Plaintiff's *Stearman* costs were $14,000 as of February 5, 2026, and further declares that the $75,000 represents 15.7% of the "total claim." (Hamerslough Dec., ¶ 10(b).) (Note: The Court understands "*Stearman* costs" to refer to the costs homeowners incur to have experts investigate defects and create repair plans, from *Stearman v. Centex Homes* (2000) 78 Cal. App. 4th

613.)

Here, the Court finds that the amount of $75,000 is appropriate, especially in light of the fact that should Plaintiffs be successful in their lawsuit, it would not appear that the Sellers, from one perspective the initial victims of Builder, would end up responsible for a majority of the costs to repair the Property. The Sellers are a retired couple who lived in the home until 2021, who believed the disclosures provided during the sale were truthful, are not themselves builders, contractors, or construction professionals, and had no role in the construction of the home. (Dennis Czarnecki Decl. ISO Opposition, ¶¶ 2-4; Maureen Czarnecki Decl. ISO Opposition, ¶¶ 2-4.) Builder, in contrast, is a developer and may have statutory liability pursuant to the California Right to Repair Act (Civil Code §§ 895 et seq.). With respect to the second factor, the amount paid in settlement, $75,000, appears appropriate in light of the settlement occurring prior to Plaintiffs even filing the instant lawsuit, especially in consideration of the fact that this amount reflects a risk adjusted exposure rather than the theoretical maximum possible recovery.

Regarding the third factor, the allocation of settlement proceeds, the Court references to its reasoning above in that since the settlement did not include an allocation, it need not be discussed here, especially in light of the acceptability of a post-verdict allocation.

The fourth *Tech-Bilt* factor, a recognition that a settlor should pay less in settlement than he would if he were liable at trial, certainly weighs in favor of a finding of good faith.

The fifth *Tech-Bilt* factor is to consider the financial conditions and insurance policy limits of settling defendants. Here, the undisputed evidence shows that Sellers have no insurance and are retirees living primarily on fixed income and that in order to pay the settlement they had to utilize retirement assets. (Dennis Czarnecki Decl. ISO Opposition, ¶¶ 8-10; Maureen Czarnecki Decl. ISO Opposition, ¶¶ 8-9, 11.) This factor weighs in favor of finding the settlement to be in good faith.

Finally, the sixth factor, "the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants" (*Tech-Bilt, supra,* 38 Cal.3d at 499), weighs in favor of finding a good faith settlement, as the only evidence submitted on this issue shows there was no improper collusion, fraud, or the like. (Dennis Czarnecki Decl. ISO Opposition, ¶¶ 6-7; Maureen Czarnecki Decl. ISO Opposition, ¶¶ 5-7.) The settlement was reached through mediation with a retired judge and appears to be the product of arm's length negotiation. (*Id*. ¶ 6.) The Court notes that Builder has supplied no evidence on this factor. As per the analysis above, the *Tech-Bilt* factors weigh in favor of finding the settlement between Sellers and Plaintiffs to have been made in good faith.

Ruling on Motion to Contest Application for Approval of Good Faith Settlement

"The party asserting the lack of good faith, who has the burden of proof on that issue (§ 877.6, subd. (d)), should be permitted to demonstrate, if he can, that the settlement is so far 'out of the ballpark' in relation to these factors as to be inconsistent with the equitable objectives of the statute. Such a demonstration would establish that the proposed settlement was not a 'settlement made in good faith' within the terms of section 877.6." (*Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, 499-500.) Here, Builder has failed to meet this burden and the Court thus **denies** the instant Motion. The Court finds that the $75,000 settlement between Plaintiffs and Sellers is a good faith settlement and declines to make any rulings regarding allocation at this time.